

From: [JoAnne OBryant](#)
To: [Rachel Dickon](#); [Raynese Grant](#)
Subject: FW: Docket No. 21-06, Comments on Marine Terminal Operator Schedules Rulemaking.
Date: Monday, November 1, 2021 7:04:33 AM

From: Maureen <maureen@foreigntire.com>
Sent: Friday, October 29, 2021 3:20 PM
To: Secretary <secretary@FMC.gov>
Subject: Docket No. 21-06, Comments on Marine Terminal Operator Schedules Rulemaking.

Dear Sirs:

The immediate response by ocean carriers is to pass along to the importers all charges for Emergency measures to be enacted Nov.1 in Los Angeles and Long Beach.

Yesterday I received this:

October 28, 2021

Los Angeles & Long Beach Port Emergency Fee

Dear ZIM Customer,

The **Ports of Los Angeles and Long Beach** have announced that effective **November 1st**, an “**emergency fee**” will be assessed against cargoes dwelling on port Terminals in excess of specified periods:

- For cargoes designated for **movement by truck** remaining on port nine (9) or more days after discharge
- For cargoes designated for **movement by rail** remaining on port six (6) or more days after discharge
- The fee of **\$100 per container increases in increments of \$100 per container per day** (i.e., the fee will be \$100 per container on Day 9, \$200 per container on Day 10, \$300 per container on Day 11...), and is compounded each day (i.e. total fees on Day 9 is \$100, total fees on Day 10 is \$300, total fees on Day 11 is \$600)
see charge table below

The announced fees were developed in coordination with the [White House's Supply Chain Disruptions Task Force](#), the U.S. Department of Transportation, and a number of supply chain stakeholders. The announced purpose of the “emergency fee” is to [incent timely removal of cargoes from the San Pedro Bay terminals, improving fluidity of the supply chain and reduce the critical level of congestion in the Ports of Los Angeles and Long Beach](#). The Ports will collect

those fees directly from Ocean Carriers and the revenue will be re-invested by the Ports for programs designed to enhance the efficiency, accelerate cargo velocity, and address the impact of congestion throughout San Pedro Bay.

The specifics of the fees have not yet been published; we will share those details with you – and publish an implementing Tariff Rule – as soon as they are available. To be clear, assessment of the 'emergency' fee will be in addition to previously published demurrage charges and will be invoiced to you. Given the short-term notice of the change in charges for terminal services – which fall well outside ZIM's control - we understand that the assessment of this fee will put your company in a difficult position. We will continue to identify solutions that might help mitigate the impact of the Ports' action; given the fact that your cargoes are typically manifested for discharge at Los Angeles or Long Beach and are identified for Merchant Haulage, this notice is forwarded so that you might take steps to remove your cargoes from the Terminal before they are subject to the fee.

We appreciate your continued support and will keep you informed of developments as they occur.

ZIM Integrated Shipping Services Ltd.

Please note in the last paragraph where it shows in underline(theirs) that the assessment of the emergency fee will be invoiced to the consignee. So if the intention is to penalize the ocean carrier, it will in fact increase the inflation even more as these costs are immediately passed to the consignee usually the importer who has to pass them along to the wholesaler if they are to make a profit, especially for items which are not high margin for profit.

Requiring a dual transaction just led to this from our trucker on container TEMU6682752:

Carrier had an appointment to pull out this container yesterday evening and when he went in they did not let him pull due to them implying a dual transaction. This carrier was booked specifically because they had their own chassis's in order to cut out the possibility of having a chassis shortage and now they are requiring empty containers be ingated to pull containers and my two drivers were empty with brand new chassis' s ready to go.

I have called 27 carriers and have not received one definite answer on any date or time we would be able to pull this container.

Thus the requirement for a dual transaction has led to our container not being able to be picked up by the last free day by a trucker with their own chassis because they weren't returning an empty! This is making the entire situation worse, not better. We had an appointment, a brand new chassis and trucker and the port said NO.

We often have issues especially in Los Angeles and Long Beach where our container is held in what is referred to as a closed area which means that no trucker is allowed to go and pick up the container. This can go on for many days and often they will

change the location at the last minute when it becomes available. That requires a new delivery order to the trucker and the trucker needs to make the appointment at the port.

When a container will be moved from the port to the rail which is arranged by the ocean carrier according to the Bill of Lading, we have had the container stay anywhere from several days to several months sometimes offsite, including one that was there from late April through late September. The railroad and ocean carrier control which containers get on the rail and when but as you can see in the exhibit above, the ocean carrier will charge the consignee who, if they are not one of the largest has no influence on when the container gets moved to the rail. If the purpose is to avoid using the rail, then the only way to get shipments to any state inland is to truck it expensively, if a trucker can be found who is willing. That would create even higher inflation in all inland states.

Example of a container being in a closed area is OOLU914800. On Oct. 4th we were advised Last free day of Oct. 7. Because we spent a vast amount of time checking it out, conferring with the port and the carrier we were able to get the last free day extended without charge. This is now happening with every container that arrives in Los Angeles or Long Beach and each one requires hours between webchat, telephone, email to the ports, the ocean carrier or NVOCC, and the trucker and importer.

On Oct. 13th it was still not available:

Per the terminal LFD was extended to 10/18
but is not available yet

Container	Available for pickup?	Size/Type	Holds/Fees	Additional Information
OOLU9148001	Not available Not available for pickup	40DH 40' HIGH CUBE DRY CONTAINER	Customs Release Status: CLEARED Line Release Status: PAID Holds: NONE Add'l Holds Info: NONE Total Fees: \$0.00 Satisfied Thru: 10/18/2021	Location: YARD (Grounded) Ves/Voy: COSCO OCEANIA/083E Line: COS Delivery Order: NONE Required Accessory: NONE []

It was made available on 10/14, our trucker picked it up and delivered it to the customer the next day. In some locations the carrier or port/ramp location refuses to extend the last free day and we have to pay exorbitant charges for port or ramp demurrage.

Truckers in Los Angeles or Long Beach also have to make an appointment to return an empty container. Our trucker started checking for an appointment on the day of the delivery 10/15. On Oct. 25 we still could not get an appointment to return it. OOLU9148001 in gated 10/26. The time we spend trying to determine if our container is either picked up or has returned and the time the trucker is spending checking to see if the container is available or looking for a place to return an empty takes up all of

our tracking people's time. We are charged by the truckers for the storage, chassis and pull to the yard. The ocean carrier may yet charge a per diem for late return of a container, it is their discretion.

The ocean carriers are highly computerized and know exactly which of their large customers are responsible for utilizing the ports and ramps as an extra warehouse and it is in the carriers control to change that behavior. They could choose a way to affect those specific customers' behaviors but penalizing the carriers leads to indiscriminately penalizing all importers and worsening inflation which ultimately affects the consumer.

One thing the government needs to do is to get an additional deepwater port on the West Coast, maybe where Port Hueneme is? That port can take very little daily cargo right now. They could temporarily use feeder vessels and do water loading and have that one used for containers only going to Los Angeles/Long Beach, no rail, freeing up the other ports for railed containers, reefers, etc. Any amount would be helpful, even if it's 1500 containers per day.

Another would be to have more ships call on the port of Portland OR instead of Seattle. That used to be a major port and is vastly underutilized.

Best regards,

Maureen Gardner
Foreign Tire Sales, Inc.

Foreign Tire Sales is abiding by recent government restrictions to slow the spread of the COVID-19/Coronavirus so many of us are working from home. Responses may take a little longer than usual, but all employees are monitoring their email and remotely coordinating and accessing necessary information.